CORE STUDY

2 The economic and business environment

2.1 Overview

Numerous **videos** and **interactivities** are available just where you need them, at the point of learning, in your digital formats, learnON and eBookPLUS at www.jacplus.com.au.

2.1.1 Introduction



Do you shop, have a bank account or even catch public transport? Of course you do! So even without knowing, you are engaged in and dependent on the world of business and economics.

Whether we know it or not, we are all involved in the economy. When we buy goods and services, put money in a bank account or get a casual job, we are contributing to the economy.

However, the economic and business environment is always changing. Not too long ago, most goods and services were bought from local shops in a face-to-face exchange. Now, thanks to advancements in technology such as the internet and smartphones, you can buy anything you want, 24 hours a day, and have it delivered to your door. Businesses can now access a global market, not only to sell their products but also to get them produced. Although this can create opportunities for businesses, it also presents challenges that individuals, businesses and governments need to think about.

This topic looks at the way our economy and markets operate in a globalised world, including the interdependent nature of our economy and the role and function of businesses within the economy.

CONTENT FOCUS

On completion of this topic, you will have:

- developed an understanding of the importance, and features of, the economic environment, including markets
- explored the nature, role and operation of businesses in the context of an increasingly globalised economy
- investigated cause-and-effect relationships in relation to a major economic event or development affecting Australian consumers and businesses.

Resources

Video eLesson	The business and economic environment (eles-3507)
Digital documents	Key terms glossary (doc-32665)
	Worksheet 2.1 Start up! (doc-32806)
eWorkbook	Customisable worksheets for this topic (ewbk-0859)

2.2 The five-sector circular flow model

It is sometimes said that 'money makes the world go around'. Of course, this is not physically true, but it does sum up the way the **economy** works. So an important concept to understand is the flow of money or finance that moves through the economy.

The circular flow of income shows the connections between the five different sectors of an economy: consumers, businesses, financial institutions, the government and the overseas sector. It also shows where money is being injected into the economy and where money is being leaked from the economy. These injections and leakages help economists calculate changes in the level of economic activity within an economy.

2.2.1 The consumer and business sectors

The household sector of an economy is made up of consumers, who hold economic resources such as land, labour, capital and enterprise. In a simple two-sector economic model, the other sector of the economy is the firms sector. People sell their resources to firms (businesses) in exchange for an income. Firms then use the resources of households to produce goods and services. This is known as **production**. Households will then use their income to buy various goods and services. This is known as **consumption**.

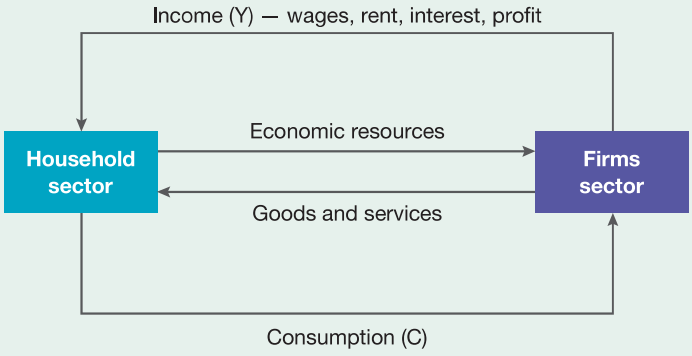
Consumers and businesses are **interdependent** on each other. This means businesses would not survive without consumers buying their goods and services, and consumers rely on businesses to provide them with the goods and services they demand to satisfy their needs and wants, and also to provide them with an income.

Two-sector circular flow of income model

Vanessa was struggling to understand the links within the economy. She realised that income is a central theme to understanding any economy. *I've always enjoyed model making, so why don't I start there?* she thought. When building a model, it's easier to start simply then build up to a more complex model. She started with the two sectors. Everyday people from within a household are essentially workers, gaining income from the production of goods and services.

She noticed that households end up using their income for the consumption of the very goods and services that like-minded households are all contributing to produce.

Vanessa's simple two-sector flow of income model
The two sector model of the economy is balanced (or in equilibrium) when income (Y) = consumption (C).



2.2.2 The financial sector (third sector)

The financial sector refers to financial institutions such as banks that act as intermediaries between the savers and borrowers in an economy. They receive the savings of individuals and businesses and then lend this money to others who need to borrow money.

A choice of saving or investment is an important factor within the economy. **Saving** (S) refers to putting money away for later use and is a leakage from the circular flow of income, whereas **investment** (I) is when money is borrowed and used to expand and grow a business. This means investment is an injection into the circular flow of income.

2.2.3 The government sector (fourth sector)

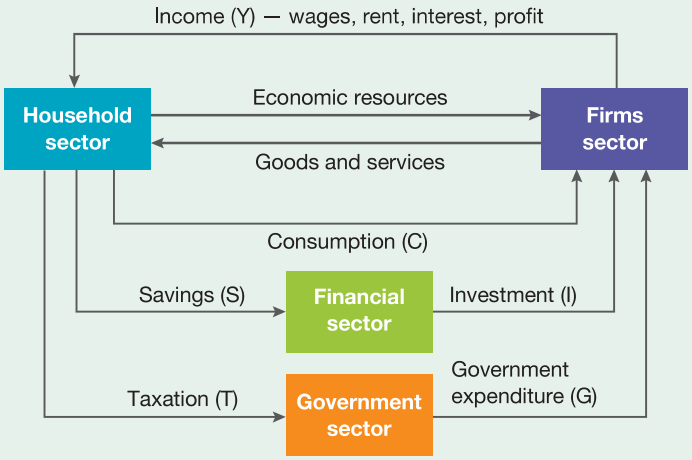
The government sector refers to local, state and federal governments and has two significant roles in the circular flow of income:

1. *Taxation* (leakage): the government collects taxes from individuals and businesses when they earn an income or profit.
2. *Government expenditure* (injection): this is when governments spend money raised through taxation on things such as infrastructure, welfare payments, education and health.

Four-sector circular flow of the economy

Vanessa was thinking about her part-time job. She had tax taken out by the government and she also tried to save a bit of her pay each week and not spend all of it. She felt her first model didn't reflect this so she added two more sectors.

Vanessa's four-sector model of the economy



2.2.4 The overseas sector

A more complete approach to understanding economies occurs when we also consider the overseas sector. This macroeconomic model details global (macro) influences upon a nation's economy and successfully explains the role of trade in helping an economy grow. Trade consists of exports and imports.

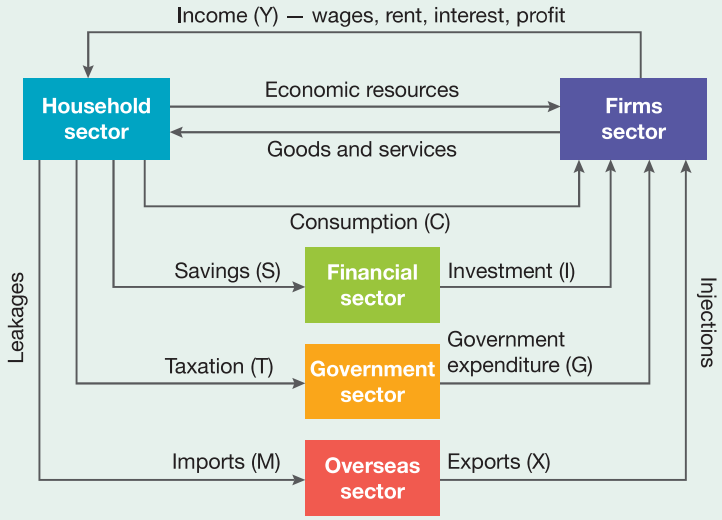
Exports (X) refers to Australian businesses selling their goods or services to overseas individuals, businesses or governments. These are an injection into the circular flow of income.

Imports (M) refers to the buying of overseas goods or services by Australians. These are a leakage from the circular flow of income.

Five-sector circular flow of the economy

Vanessa realised she had forgotten something pretty important. People in the news and politicians talk about international elements of global finance and their impact upon Australia. This overseas sector was dealing with what she knew to be trade — bringing in things (imports) Australia doesn't have and selling things (exports) that Australia is able to share with the world.

Vanessa's completed model of the economy: the five-sector circular flow of the economy



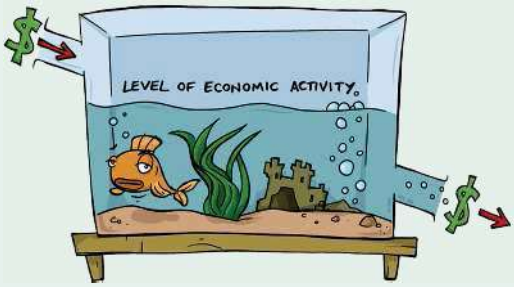
The circular flow of income is used by economists to measure changes in the level of economic activity within an economy; that is, is the economy growing or shrinking? This is done by adding up the injections into the economy and comparing them to the leakages out of the economy.

- When injections are greater than leakages, economic growth occurs and the economy will expand.
- When leakages are greater than injections, an economy will experience economic decline.

It is the government's role to try to manage and maintain a balance within their nation's economy by altering flows of money and influencing decisions within sectors.

Vanessa shared her models with the class. She described how each sector is equally dependent upon other sectors for success. To show that she was able to critically look at things and analyse where things can go wrong, she applied the example of a fish tank to explain problems within the economy: 'If leakages such as savings (S), taxation (T) and imports (M) are always leaving the economy, this is hard to balance. So the injections of investment (I), government expenditure (G) and exports (X) will stop the leakages from draining the fish tank dry. This is the tricky balance an economy has to maintain.'

The effect of injections and leakages is to raise or lower the level of economic activity.



on Resources

Digital document Worksheet 2.2 Economic links — the circular flow of income model (doc-32690)

2.4 The business cycle

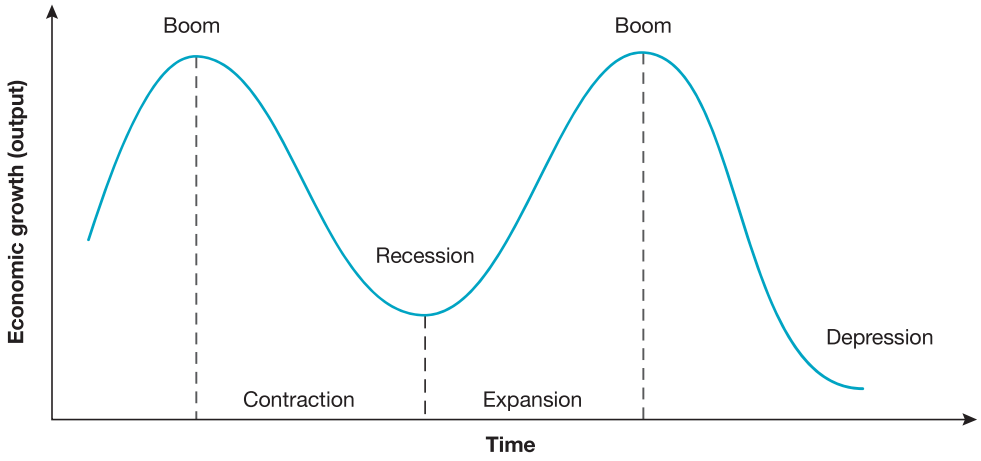
2.4.1 Phases of the business cycle

Imagine your local shopping centre to be a small-scale representation of the Australian economy. Now, imagine what would happen to the businesses within the shopping centre if all their customers decided to shop at another centre for a day. Economic disaster! If this situation continued for a month, the centre's businesses would close, employees would be laid off, and landlords and suppliers would not be paid. Eventually, as the 'economy' plunged into a **recession**, business owners would lose confidence in the economy's future. However, at the rival shopping centre, new businesses would open, many new jobs would be created, landlords and suppliers would gain new customers and the confidence of the local business owners would soar. The 'economy' of this shopping centre would boom.

While such an extreme situation would not happen in reality, the Australian economy does experience a cycle of 'booms' and 'busts'. These periods of high and low economic activity are referred to as the **business cycle**. After a period of prosperity, business activity gradually slows until a recession or **depression** is reached. A recession is where an economy gets smaller for a period of six months or longer. A depression is a long and severe recession. Eventually, business picks up again until prosperity is restored. This completes the cycle. These cycles are a basic feature of our economic system.

No economic system works perfectly all the time. The level of economic activity fluctuates (moves up and down). In other words, total production, incomes, spending and employment rise and fall. The fluctuations are caused by changes in the level of total spending — consumer spending (consumption), business spending (investment), government spending and exports — within the economy.

Phases of the business cycle



Contraction	Expansion
Key features • Falling levels of production (output) • Decreasing consumer spending • Rate of inflation may fall • Wage rates generally fall • Interest rates eventually fall • Level of unemployment rises	Key features • Rising levels of production (output) • Increasing consumer spending • Rate of inflation may rise • Wage rates generally rise • Interest rates eventually rise • Level of unemployment falls